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STANDARD FORM NO. 64

Office Memorandum • UNITED STATES GOVERNMENT

TO : R - Mr. Howe

DATE: 22 May 1950

FROM : OIR - Allan Evans

SUBJECT: Informal Comments on statements on Formosa, attached.

A. The statement in section (a): "any prospect that a serious rift might develop in the near future between Moscow and Peiping was eliminated by the publication of the recent Sino-Soviet Agreements" is overdrawn. The published agreements undoubtedly represented "a public declaration of solidarity" and as such are very useful to both Chinese and Russians propaganda wise. They were certainly designed to indicate to the world at large that the Kremlin was going to follow a conciliatory policy in its dealings with China, but we do not, particularly with the cutting off of our reporting from Peiping and Shanghai, have any intelligence to prove that this is in fact the case. Until we do it is premature to read into the agreements the conclusion that possibilities of a serious rift are out of the picture. It is probably more accurate to assume that such possibilities of a serious rift as existed prior to the Moscow discussions arose from basic difficulties which will continue for an indefinite period to affect the relations of Peiping and Moscow.

B. Soviet dismemberment designs on China could hardly be "obvious to key sections of Chinese opinion" without creating some possibility of a "serious rift". We cannot at the same time assume both that there is no possibility of difficulties between the Russians and the Chinese (point "a" above), and that the Chinese are so aroused over USSR activities with respect to the border areas that they will be inclined to take a different attitude towards any possible action we might take with respect to Formosa. The Chinese Communists have gone out of their way to suppress or obscure reports of Russian activities in the Northwest and Manchuria and it is possible that they have in general had fair success in keeping USSR designs on these areas from becoming clear to the Chinese public.

C. It is certainly well within the realm of possibility that Russian aid to the Chinese in taking Formosa will eventuate in USSR exploitation of the island as a military base. The question therefore boils down to one of the military significance of the island in Soviet hands, but this, essentially has always been the basic question.

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D. We agree that Communist occupation of Formosa will free the Communists for more aggressive action in Southeast Asia, that the event will have significant psychological repercussions, and that the Communists have an important asset in Chinese overseas communities.

E. Regardless of what might be implied from the President's statement of January 5, US intelligence agencies have been in agreement from well before the time of that statement that the Nationalist Government would not be in a position to maintain control of the island short of outright US military intervention. The intelligence estimate of the situation, therefore has not changed.

F. We do not believe that the loss of Taiwan will have significant effect on the present pro-Western orientation of Japan in the cold war. Among other reasons is the fact that the Japanese, partly due to their habitual intellectual deference to authority, appear to have completely accepted the fact that we have stated we will not defend Formosa as evidence that we do not regard it as strategically important, and to be guided by this to feel that the island is not strategically important. In other words we will not lose face in Japan so long as we make it clear we do not think we are losing face.

Attachments:

cc 4 typewritten clippings. (TS)

OIR:CharlesCStelle:HY:5-22-50.

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